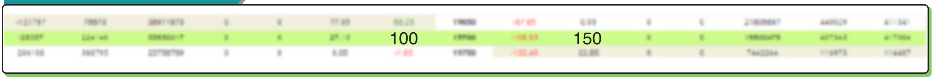
Indicators Alert Replay

The standard depletion rate for the trade entry is 10% of the option premium. If the ATM call option is at ₹100 and put option is at ₹150, traders can see whichever option premium decreases by 10% and then sell that option.

Previously



Source: opstra.definedge.com/optionchain

Today

Source: opstra.definedge.com/optionchain

This strategy has no correlation with the vanilla short straddle strategy where both options are sold simultaneously. In this strategy, we can get trades on both sides or none.

STRATEGY RULES

The strategy follows a set of rules to determine the appropriate time to execute trades and manage risk effectively. Here are the key rules involved in the momentum-selling strategy:

1 **Time and Instrument Selection:**
At 10:00 a.m., the Nifty At-The-Money call and put options are analyzed each day.

2 **Target Price Decline:**
The strategy aims for a 10% downward movement in the price of the option.

3 **Selling Strategy:**
When either of the option gets a 10% decrease in its value, the strategy is executed, entry can be in both the legs.